

saw his home and furnishings auctioned off by the court.

You see, the net worth doesn't mean anything. It's how much you actually own unencumbered by liabilities. As I discussed earlier, have a goal that at least half of your assets will be totally debt-free. If you can't do that right now, make it your number one long-range goal. How can you do it? By saying, "The next time I sell an investment, I'll use that to pay off another investment." As the Lord said, "For which one of you, when he wants to build a tower, does not first sit down and calculate the cost, to see if he has enough to complete it?" (Luke 14:28)

31 KEY #9: KNOW WHERE TO SELL

Before you buy, always know where you can sell the investment. This key is very important when you're dealing with so-called "exotic investments" such as gemstones, silver, gold, or collectibles. You can do very well buying these items if you know what you're doing. But most people who buy collectibles have no idea of where or how to sell them.

For example, suppose that the precious metals market is doing very well and you want to sell an antique silver plate. Let's arbitrarily assume that silver is being quoted at \$7 an ounce. The first thing you will discover is that your plate is probably worth a lot more than its silver content, based on what you paid for it as an antique. So the price quoted on silver has little meaning. The market for your plate would be to a collector, and normally through an antique broker. Many novice collectors have discovered, to their dismay, that the price they paid for an object was retail (or more) and the price they're offered is wholesale (or less).

Even if your investment in silver had no collectible value and you tried to resell it for the silver content, you would probably get a shock. First, you would need to have your plate melted down and smelted into nearly pure silver, for which you would pay a fee. Then you would find that no dealer would give you